Medbury Healthcare Group

What one patient is worth, and what one costs.

Specialist consultation	**42,025**
Laboratory	**31,500**
Imaging: X-ray, ultrasound, echo	**22,000**
Cardiology diagnostics	**7,000**
Procedure suite	**28,000**
Observation and day admission	**10,800**
Pharmacy	**12,500**
Concierge and case management	**18,900**
As-Salam referral at 15%	**58,590**
REVENUE PER PATIENT	**231,315**

Doctor fee	**(24,832)**
Laboratory reagents	**(10,080)**
Imaging and cardiology consumables	**(2,320)**
Pharmacy cost of goods	**(9,000)**
Procedure consumables	**(6,160)**
Observation consumables	**(1,944)**
Consultant share of the referral	**(2,930)**
DIRECT COST	**(57,266)**
CONTRIBUTION PER PATIENT	**174,049**

Every patient through the pathway contributes NGN 174,049, a 75 per cent margin, because the diagnostics are owned rather than referred. An executive health package contributes NGN 315,000 on a NGN 450,000 ticket. Those two numbers are the whole engine.

It covers itself at 341 patients a month. Sixteen a day.

Occupancy, the whole building	**26,018,417**
Personnel, 37 posts	**20,666,800**
Marketing and demand generation	**5,833,333**
As-Salam consultant travel and accommodation	**2,333,333**
Biomedical maintenance contracts	**1,833,333**
Office, business travel, misc and licences	**2,666,667**
FIXED, A MONTH	**59,351,883**

341
PATIENTS A MONTH
against a run rate of 890

16
A WORKING DAY
about 2 of the 5 consulting rooms

38%
OF A FULL BUILDING
the other 62 per cent is margin

The fixed base is dominated by two lines: NGN 26.0 M a month of occupancy for the whole building, and NGN 20.7 M for 37 posts. Neither flexes with volume, which is why the first year is the whole risk and the fifth year is comfortable.

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Twelve months of losses before it turns.

Month	Patients	Exec	EBITDA	Cash flow	Cumulative	
1	0	0	-26.7	-270.3	-270	
3	0	0	-26.7	-165.9	-707	
4	5	0	-58.6	-128.2	-835	
6	38	3	-52.7	-52.7	-944	
8	100	7	-41.8	-41.8	-1,033	
10	183	13	-26.9	-26.9	-1,095	
12	282	20	-8.8	-8.8	-1,122	
13	**335**	**24**	**1.1**	**1.1**	**-1,121**	**EBITDA POSITIVE**
15	445	32	22.2	22.2	-1,087	
18	608	46	54.5	54.5	-956	
21	751	60	84.5	84.5	-731	
24	852	72	107.7	107.7	-429	
27	890	82	119.5	119.5	-79	
28	**890**	**85**	**121.0**	**121.0**	**42**	**CAPITAL BACK**
30	890	89	123.2	123.2	287	
36	890	92	124.5	124.5	1,033	

Opens month 4 on a three month fit-out. EBITDA turns positive in month 13, which is 10 months after the doors open. The deepest point is month 12. Capital is back in month 28.

YOUR SIDE OF IT

The cheque is not NGN 696 M. It is NGN 1,122 M.

Equipment, fit and launch capital	**696 M**
Operating losses until it turns	**426 M**
TOTAL THE SPV HAS TO BE FUNDED	**1,122 M**
Medbury at 49 per cent	**550 M**

NGN 550 M

YOUR FUNDING

49% of what the SPV needs

month 28

CAPITAL BACK

25 months after opening

NGN 395 M

YOUR NET INCOME

a year at run rate

The capital expenditure is NGN 696 M but the SPV loses NGN 426 M before it turns, and someone funds that too. Your 49 per cent is NGN 550 M, not the NGN 341 M that a capex table would suggest. Agree the funding schedule and who bridges the losses before the shareholder agreement is signed, because that is where minority shareholders get diluted.

Three levers, and only one is yours.

Volume is the lever you control.

Breakeven is 341 patients a month against a run rate of 890. Every 50 patients a month is NGN 8.7 M of contribution. Getting to breakeven two months earlier is worth about NGN 119 M of funding you never have to put in.

The fixed base is set on day one and barely moves.

NGN 59.4 M a month, of which occupancy and payroll are NGN 46.7 M. You cannot flex your way out of a slow ramp. The only real decision is whether to open the whole building at once or phase the observation unit and the second procedure room.

The referral is the one you do not control.

NGN 74,560 of the NGN 174,049 contribution per patient is the As-Salam commission and the concierge fee attached to it. Strip those out and breakeven moves from 341 patients a month to 597, which is more than the building can see in year one.